

Their modus operandi was simple. FIIs dealt in large blocks of shares. These two dealers were expert at sourcing big blocks because of their connections in financial institutions. The shares would be bought cheap from the domestic institution by a broker fronting for the dealers. The dealers would then buy the shares for the FII client from this broker at an inflated price. The difference would usually be settled in cash between the dealers and the front broker. At times, these trades happened with the full knowledge of the officials at both the domestic institutions and the foreign fund houses, since they too got a share of the spoils.

It was not just the institutional brokers who were fattening themselves at the expense of their foreign clients; jobbers too had a field day quoting outrageous spreads. Because it was an open outcry system, FIIs wanting to buy stocks beyond the top ten most actively traded ones were forced to accept the terms of the jobbers in those stocks. Electronic screen-based trading, introduced by NSE towards the end of 1994, would end some of the malpractices, but not all of them.

As for the two sharp-witted dealers, they endeared themselves to dance girls in the Topaz bar by generously lavishing crisp tenners on them. Each of them is known to have at times blown up as much as Rs 5 lakh in a single night on their favourite girls. Back in the early 1990s, Rs 5 lakh went a really long way. News of their extravagance soon reached the ears of their employers, and the duo had to tone down their wild ways. In another six years, Rs 5 lakh would look like loose change when a few brokers from Calcutta went berserk over the girls.